

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED., *Respondents and Third-Party
Complainants*

v.

SAMSUNG ELECTRONICS COMPANY, LTD., *Third-Party
Respondent.*

DOCKET NO. 24-17

Served: March 20, 2026

ORDER OF: Richard AMBROW, *Administrative Law Judge.*

**ORDER DENYING THIRD-PARTY RESPONDENT’S PETITION FOR AN AWARD OF ATTORNEYS’
FEES, DENYING COMPLAINANT’S PETITION FOR ATTORNEYS’ FEES, AND DENYING
COMPLAINANT’S MOTION TO SUPPLEMENT ITS PETITION FOR ATTORNEY FEES**

I. OVERVIEW

On January 26, 2026, Samsung Electronics Company, Ltd. (“SEC”) filed Third-Party Respondent’s Petition for an Award of Attorneys’ Fees (“SEC Petition”).

Also on January 26, 2026, Complainant Samsung Electronics America, Inc. (“SEA”) filed Complainant’s Petition for Attorneys’ Fees (“SEA Petition”). Later, on March 2, 2026, SEA filed SEA’s Motion to Supplement its Petition for Attorney Fees (“MTS”).

On February 17, 2026, Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL”) filed a reply to SEA’s Petition, as well as a reply to SEC’s Petition. OOCL also responded to the MTS on March 9, 2026.

In brief, OOCL filed a Counterclaim (“CC”) against SEA, and a Third-Party Complaint (“TPC”) against SEC. The CC was dismissed by the then-Presiding Officer on March 31, 2025. On appeal, although the Commission affirmed the dismissal, the Commission also remanded the matter, allowing OOCL an opportunity to amend its CC. OOCL amended its CC against SEA, as well as its TPC against SEC. On November 26, 2025, I entered an Order dismissing both the Amended Counterclaim (“AMCC”) and Amended Third-Party Complaint (“ATPC”).

SEA and SEC both filed petitions seeking attorney's fees, arguing that they are the prevailing parties, and that OOCL's AMCC and ATPC were objectively unreasonable. SEC also claims that it was a prevailing party to the extent that it filed a motion to dismiss on lack of service grounds (though the motion to dismiss was denied). OOCL argues that it did not advance its arguments unreasonably, and points to the fact that the Commission remanded the CC after it was dismissed and gave OOCL a chance to amend.

As discussed below in greater depth, I cannot find that OOCL acted unreasonably in filing the CC and TPC, and later, the AMCC and ATPC because the Commission expressly permitted OOCL to file an amend Counterclaim, finding that it would not necessarily be futile. Accordingly, SEA's Petition is **DENIED**, and SEC's Petition is **DENIED**.¹ Further, the MTS is **DENIED** as moot.

II. PROCEDURAL HISTORY

A. Case Initiation until Verified Amended Complaint

On March 28, 2024, the Office of the Secretary received SEA's Verified Complaint ("VC") for filing. (*See* Notice of Filing of Complaint and Assignment). The VC identified SEA as the Complainant, and OOCL as the Respondent. In a nutshell, SEA alleged that it used OOCL to transport goods under so-called "store door" terms, which meant that OOCL was responsible for delivering SEA's goods to various inland destinations. (VC, at ¶¶ 16, 18). Beginning in approximately 2021, OOCL not only repeatedly failed to perform its delivery obligations, but it also imposed "various unreasonable demurrage and detention practices against SEA in connection with the delivery of SEA goods" thus causing SEA to incur "unreasonable costs, charges, delays, and other harms." (VC, at ¶¶ 19-20, 27-28, 30, 34-47). SEA also alleges that OOCL's invoices lacked adequate information and were therefore unreasonable. (VC, at ¶ 48). The VC contained six counts: Count I, violation of 46 U.S.C. § 41102(c) (unjust and unreasonable practices in handling property); Count II, violations of 46 U.S.C. § 41104(a)(3) – 46 U.S.C. § 41102(d) (retaliation); Count III, violations of 46 U.S.C. § 41104(a)(10) (refusal to deal); Count IV, violations of 46 U.S.C. § 41104(a)(15) (OSRA – invoices without information); Count V, violations of 46 U.S.C. § 41104(a)(14) (OSRA unreasonable charges); and Count VI, violations of 46 U.S.C. § 41102(c) (unjust and unreasonable dispute resolution practices).

On May 13, 2024, OOCL filed a motion to dismiss the VC. (*See* Respondent's Motion to Dismiss the Complaint). On November 18, 2024, after the motion was fully briefed, Administrative Law Judge Alex M. Chintella, the then-presiding officer, issued an order partially granting the motion to dismiss, which dismissed Counts II and III of the VC, but allowed the remaining counts to survive. (*See* Order Partially Granting Motion to Dismiss). Judge Chintella's order also permitted SEA to file an amended complaint and required SEA to allege an amount of reparations it seeks. (*Id.*).

¹ This order will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this order within twenty-two (22) days of the date of service of the order. (46 C.F.R. § 502.254(h); 46 C.F.R. § 502.227(a)(1)).

B. Verified Amended Complaint Through Reassignment

SEA filed the Verified Amended Complaint (“VAC”) on December 2, 2024. (*See generally* VAC). The VAC largely reiterates the allegations from the VC, contains only the four surviving counts, and alleges that SEA seeks \$14.3 million in reparations. (*Id.*).

OOCL filed its Verified Answer (“VA”) on December 12, 2024, which also contained the CC. (*See* VAC and CC). The CC alleged that SEC and SEA entered into service contracts with OOCL in 2021 and 2022. (CC, at ¶¶ 2, 4). Among other things, the service contracts permitted SEC and SEA to nominate truckers for inland transportation (*i.e.*, “customer nominated truckers” or “CNTs”), but made SEC and SEA responsible for any delays caused by CNTs. (CC, at ¶¶ 3, 17). Although OOCL sent invoices to SEC and SEA because they incurred various fees through their untimely CNTs, SEC and SEA never took advantage of OOCL’s dispute resolution policy. To the contrary, SEC and SEA sent a demand for refunds and for waiver of any future charges on October 7, 2022 (the “October 7 Demand”), that lacked any specific details. Although OOCL asked for details, SEC and SEA never provided any, and ultimately filed the VC. (CC, at ¶¶ 18-26). The CC alleged that SEA violated 46 U.S.C. § 41102(a) by knowingly or willfully attempting to obtain ocean transportation of goods at less than applicable rates by an unjust or unfair means by making demands and filing the complaint seeking refunds and/or waiver of future fees. (CC, at ¶¶ 27-42).

On December 17, 2024, OOCL filed the TPC against SEC. It was substantially similar to the CC. (*See generally* TPC). The TPC, however, added that SEC controlled SEA. (TPC, ¶¶ 22, 64-65). Thus, while SEC did not send the October 7 Demand, or file the lawsuit, it nevertheless violated section 41102(a) by means of its control over SEA. (*Id.*).

On January 6, 2025, SEA filed a motion to dismiss the CC (“SEA’s MTD CC”). (*See* Complainant’s Motion to Dismiss Respondents’ Counterclaim). It was fully briefed.

On January 29, 2025, SEC filed the Third-Party Respondent’s Motion to Dismiss Respondents’ Third-Party Complaint (“SEC’s MTD Re Service”). In it, SEC argues that it was not properly served by the Office of the Secretary in accordance with the provisions of the Hague Convention. (*See generally* SEC’s MTD Re Service). On February 13, 2025, OOCL filed Respondents’ Brief in Opposition to Third-Party Respondent’s Motion to Dismiss the Third-Party Complaint (“SEC’s MTD Re Service Opp.”), arguing, among other things, that Samsung has waived proper service in numerous other cases, that Samsung clearly received notice of the TPC, and that, in any event, the proper remedy is to allow OOCL to serve SEC. (*See generally* SEC’s MTD Re Service Opp.). On February 20, 2025, Samsung filed Third-Party Respondent’s Reply to Respondents’ Opposition to Third-Party Respondent’s Motion to Dismiss Respondents’ Third-Party Complaint.

The Office of the Secretary typically serves a complaint using first class or express mail service at the Respondent’s address provided by the Complainant. (46 C.F.R. § 502.113(b)). The record contains letters dated January 29, 2025, and February 19, 2025, from the Office of the Secretary to OOCL’s counsel indicating that the TPC was returned as undeliverable or not accepted for delivery.

On March 31, 2025, after SEA's MTD CC was fully briefed, Judge Chintella issued an Order Granting Complainant's Motion to Dismiss Respondent's Counterclaim (the "March 31 Order"). The March 31 Order noted that a claim under section 41102(a) has three elements: 1) knowing and willful conduct; 2) through which, either "directly or indirectly," by means of the actions enumerated in the statute or through "any other unjust or unfair device or means;" 3) respondent obtained or attempted to obtain ocean transportation at lesser rates. (March 31 Order, at 3 (citations omitted)). The March 31 Order reasoned that SEA's filing of a facially valid complaint is not an "unjust or unfair device or means," so the second element of a section 41102(a) claim could not be satisfied. (*Id.*, at 4-5). The March 31 Order also reasoned that the third element could not be satisfied, either, because the ultimate outcome of the lawsuit will be to determine the proper amount of fees that SEA owes. (*Id.*, at 5). Finally, the March 31 Order denied OOCL's request for leave to amend its complaint based on futility grounds. (*Id.*, at 5-6).

C. Reassignment Until Commission Remand

On June 6, 2025, this matter was reassigned to the undersigned.

On June 24, 2025, OOCL filed a Motion to Permit Alternative Service Under FED. R. CIV. P. 4(f)(3) ("MAS"). The MAS will be discussed more below, but, in general, OOCL argued that it should be allowed to serve SEA's counsel by email or personal service pursuant to Rule 4(f)(3) of the Federal Rules of Civil Procedure. Both SEA and SEC opposed the MAS.

On July 10, 2025, I issued an Order Granting OOCL's Motion for Reconsideration, And Denying SEC's Motion to Dismiss Third-Party Complaint, OOCL's Motion for Alternative Service, OOCL's Motion for Enlargement, and SEC's Motion for an Order Preserving Defense (the "July 10 Order"). In relevant part, I stated in the July 10 Order that SEA was not properly served per the Hague Convention, I denied SEC's MTD Re Service because many cases have held that the favored remedy for improper service per the Hague Convention is to allow the plaintiff to have more time to serve. (July 10 Order, at 5 (citing cases)). I also denied OOCL's MAS; while alternative service is permissible, courts typically do not allow parties to use alternative service solely because of the cumbersome nature of the Hague Convention process. (July 10 Order, at 5-7 (citing cases)).

On July 30, 2025, the Commission issued its Order Affirming Dismissal of Counterclaim (the "July 30 Order"). Briefly, the Commission agreed that a facially-valid complaint cannot serve as a basis of a section 41102(a) claim because the second and third elements of a claim under section 41102(a) cannot be satisfied. (July 30 Order, at 11-15). The Commission, however, also noted that the CC alleged that the pre-suit demand was an unjust or unfair device, which the ALJ did not rule on. (*Id.*, at 15-16, 20). In addition, the Commission noted that OOCL argued that SEC and SEA deceived OOCL factually when they entered into the service contracts, but such allegations were not in the CC. (*Id.*, at 17-18). The Commission remanded the matter to allow OOCL to amend its counterclaim – though the Commission stated that it was unclear whether OOCL's allegations of deception would state a valid claim. (*Id.*, at 18-21). The Commission's July 30 Order will be discussed in greater depth below.

D. Remand Until November 26 Order

On August 13, 2025, OOCL filed the AMCC (*See generally* AMCC). On September 8, 2025, SEA filed Complainant's Motion to Dismiss Respondents' Amended Counterclaim. OOCL filed its Counter-Complainant's Opposition to Counter-Respondent's Motion to Dismiss the Amended Counterclaim ("MTD AMCC Opp.") on September 25, 2025. On November 13, 2025, SEA filed Complainant's Reply in Further Support of its Motion to Dismiss Respondents' Amended Counterclaim.

Regarding the TPC, it was not served on SEC until August 13, 2025. (*See* Proof of Service on Third-Party Respondent Samsung Electronics Co., Ltd.). SEC filed its Third-Party Respondent's Motion to Dismiss the Third-Party Complaint on September 8, 2025. OOCL did not respond to the MTD TPC. Instead, the parties agreed that, due to the similarities between the CC and TPC, OOCL would be allowed to amend its TPC, at which time SEC could move to dismiss the ATPC. (*See* Order Granting Motion of September 18, 2025).

The ATPC was filed September 29, 2025. On November 13, 2025, SEC filed Third-Party Respondent's Amended Motion to Dismiss the Amended Third-Party Complaint, OOCL filed OOCL's Opposition to Samsung Electronics Company, Ltd. Motion to Dismiss Amended Third-Party Complaint ("MTD ATPC Opp), and SEC filed Third-Party Respondent Samsung Electronics Co., Ltd., S/H/A Samsung Electronics Company, Ltd.'s Reply to Respondent's Opposition to the Amended Motion to Dismiss the Amended Third-Party Complaint.

E. Relevant Allegations in the Amended Counterclaim

The AMCC, filed August 13, 2025, alleges that in 2021 and 2022, SEC requested bids for delivery of cargo to North American ports, as well as inland locations, that would, among other things, permit SEC to use customer nominated truckers, or CNTs. (AMCC, at ¶¶ 8-12). SEC and OOCL ultimately entered into service contracts that incorporated a tariff provision that made SEC responsible for demurrage and detention charges unless the charges were OOCL's fault. (*Id.*, at ¶¶ 12, 28-31). SEC and SEA, however, allegedly concealed the fact that they "would not honor the terms of the Service Contracts regarding responsibility for delays." (*Id.*, at ¶ 33).

OOCL sent invoices to SEA (and through SEA, to SEC) for cargo-related charges, but SEC did not take advantage of OOCL's dispute resolution processes. (AMCC, at ¶¶ 34-36). To the contrary, on October 7, 2022, SEA allegedly transmitted a demand letter to OOCL that asserted that OOCL coerced SEA to pay millions in demurrage, detention and other fees, and demanded a refund, because "OOCL was responsible for obtaining all necessary resources therefor under the store-door terms." (*Id.*, at ¶ 37). The October 7 Demand contained little information to support SEC's and SEA's allegations, and although OOCL asked for additional information, this lawsuit was ultimately filed. (*Id.*, at ¶¶ 38-43).

The AMCC contains one count for an alleged violation of 46 U.S.C. § 41102(a). (AMCC, at ¶¶ 44-67). It contains the following allegations, which summarize the AMCC:

66. Samsung sought and achieved freight rates for the transportation of its cargo lower than those that would otherwise have been applicable, and achieved extended free times and other financial benefits for SEA, by reason of the unjust and unfair device or means of concealing its rejection of the clear provisions of the Service Contracts making SEA/Samsung expressly responsible for detention and demurrage charges resulting from the actions of SEA or its CNTs. Samsung and SEA continued this deception until after the Service Contracts expired and SEA/Samsung gained the benefits of their deceit, then demanding repayment of charges it had agreed to pay in the first place.

67. SEA has also sought and continues seeking lower rates or charges by demanding refunds of charges imposed on SEA pursuant to the terms of the Service Contracts, by refusing to pay lawful charges for its own failure to make timely pickup of cargo and timely return of OOCL equipment, and in demanding that OOCL waive future lawful charges. SEA, together with Samsung, has thus knowingly and willfully engaged in an unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. §41102(a) of the Shipping Act.

(AMCC, at ¶¶ 66-67).

F. Relevant Allegations in the Amended Third-Party Complaint

Like the AMCC, the ATPC alleges that SEC and OOCL entered into shipping contracts that allowed SEC to use CNTs. (ATPC, at ¶¶ 12-16). SEC and SEA allegedly knew or should have known that they would be “responsible for detention and demurrage charges, unless charges resulted directly from delays that were the fault of OOCL[],” but nevertheless SEC and SEA concealed their position, both during the execution and performance of the service contracts, that neither SEC nor SEA “would accept responsibility for delay fees that were not the fault of OOCL.” (*Id.*, at ¶¶ 29-30; *see also* ¶¶ 38-47). OOCL allegedly sent invoices to SEC and SEA routinely. (*Id.*, at ¶ 48). SEC and SEA did not contest any of these invoices using OOCL’s dispute resolution mechanism, but instead SEA sent the October 7 Demand, which allegedly lacked specific details. (*Id.*, at ¶¶ 51-59).

OOCL’s ATPC again contains one count of alleged violation of § 41102(a). (ATPC., ¶¶ 70-87). OOCL’s allegations are summarized in this paragraph:

85. Samsung has, with its agents, affiliates, and consignees named above, violated 46 U.S.C. § 41102(a)(1) by:

a. negotiating and entering into Service Contracts with OOCL that they knew obligated them to bear certain costs associated with Store Door deliveries;

- b. inducing OOCL to enter into the Service Contracts on the rates, terms, and conditions set forth therein, and to provide services thereunder, concealing their disagreement with the clear terms of the Service Contracts making Samsung responsible for charges associated with inland delivery, then demanding refund of charges for which they were responsible under the Service Contracts;
- c. attempting to obtain the transportation contracted for without bearing the applicable charges that they knew, or should have known, applied under the terms of the Service Contracts.

(ATCP, at ¶ 85; *see also* ATCP, at ¶¶ 60-67, 78-87). Regarding reparations, OOCL alleges that it: “has been exposed to damages in the amount alleged in the Amended Verified Complaint, specifically in excess of \$14,300,000 plus interest, as well as legal costs as a result of the proceeding filed against it by SEA” (ATCP, at ¶ 88).

G. November 26 Order

On November 26, 2025, I issued an Order Granting Complainant’s Motion to Dismiss Respondents’ Amended Counterclaim and Third-Party Respondent’s Amended Motion to Dismiss the Amended Third-Party Complaint (the “November 26 Order”). In general, I concluded that the AMCC and the ATPC could not satisfy the second element of a section 41102(a) claim – an unjust or unfair device. Both the AMCC and the ATPC were premised on the assumption that OOCL would defeat SEA and SEC’s facially-valid claims – but, as Judge Chintella previously held, and the Commission affirmed, a facially-valid dispute cannot be an “unjust or unfair device.” (November 26 Order, at 9-11). I also concluded that the third element of a section 41102(a) claim – obtained ocean transportation at less than applicable rates – was not met because the ultimate result of the AMCC and ATPC will be SEA paying what it properly owed. (November 26 Order, at 12). Again, this is what Judge Chintella said previously, and the Commission affirmed. (March 31 Order, at 5; July 30 Order, at 14-15).

The November 26 Order became administratively final on December 29, 2025.

III. ANALYSIS

A. Standard for Awarding Attorney’s Fees

Section 41305(e) of the Shipping Act states: “In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.” (46 U.S.C. § 41305(e)). A party must be both eligible and entitled to be awarded attorney’s fees. (*Bakerly, LLC v. SeaFrigo USA Inc.*, Dkt. No. 22-17, 2026 WL 254020, at *1 (FMC Jan. 22, 2026)). To be eligible, a party must be a “prevailing party.” (*Id.*, at *4). To be a “prevailing party,” the Commission looks for a “material alteration of the legal relationship of the parties in a manner which Congress sought to promote in the fee statute.” (*Statement of the Commission on Attorney Fees* (“*Statement*”), Dkt. No. 21-14, 3 F.M.C.2d 195, 196, 2021 WL 9204127, at *2 (FMC Dec. 28, 2021) (citing *Organization and Functions; Rules of Practice and Procedure; Attorney’s Fees* (“*Rulemaking*”)),

81 FED. REG. 10508, 10512; *Tex. State Teachers Ass’n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 791-92 (1989); *Cadkin v. Loose*, 569 F.3d 1142, 1148-49 (9th Cir. 2009)).

There is no presumption of awards for or against attorney’s fees. (*Statement*, 3 F.M.C.2d at 197). The applicant for an award of attorney’s fees bears the burden of establishing entitlement to an award, documenting the appropriate hours, and justifying the reasonableness of the rates. (*Baltic Auto Shipping, Inc. v. Hitrinov*, Dkt. No. 14-15, 2017 WL 4924883, at *9 (FMC Oct. 25, 2017)).

When considering whether to award attorney’s fees, the primary consideration is whether the award is consistent with the Shipping Act. (*Rulemaking*, 81 FED. REG. at 10515). The parties should be encouraged to litigate meritorious claims and defenses, and attorney’s fees liability should not be imposed in such a way as to chill the filing of credible claims and defenses. (*Statement*, 3 F.M.C.2d at 197). Other considerations of whether to award attorney’s fees includes “frivolousness, objective unreasonableness (in the factual and legal components of a case), motivation, litigation misconduct, deterrence, and compensation.” (*Id.*, at 198).

B. Eligible

The first issue is whether SEA and SEC are eligible for attorney’s fees.

In the *Rulemaking*, the Commission stated that: “the Commission will apply the standards used by federal courts in determining whether a party has prevailed in complaint proceedings under the Shipping Act.” (*Rulemaking*, 81 FED. REG., at 10512). A respondent is generally a prevailing party where it rebuffs the complainant’s claims. (*Statement*, 3 F.M.C.2d at 196-97).

I find that SEA is a “prevailing party.” I considered the fact that SEA’s VAC is still pending and is unresolved. Further, I note that there is federal case law applying Rule 54(d) of the Federal Rules of Civil Procedure – which provides that costs should generally be awarded to the prevailing party. Federal courts have determined that a party can be a “prevailing party” if it wins on the main claim, even if it loses its counterclaim. For example, in *Ira Green, Inc. v. Military Sales & Service Co.*, 775 F.3d 12, 28-29 (1st Cir. 2014), the appellate court affirmed a district court’s finding that the defendant was the prevailing party where the defendant successfully staved off the plaintiff’s claim after an eight day trial, but the defendant’s counterclaim was disposed of before the trial. (*See also Scientific Holding Co., Ltd. v. Plessey, Inc.*, 510 F.2d 15, 28 (2d Cir. 1974). (“District courts have held that a defendant who successfully fends off a large claim may be awarded costs despite failure to prevail on a counterclaim.”)). Nevertheless, section 41305(e) provides that in “any” action brought under section 41301, the prevailing party may be awarded reasonable attorney’s fees. Because the AMCC expressly states that it is brought pursuant to section 41301 (*see* AMCC, ¶ 6), and because OOCL does not contest that SEA is the prevailing party as to the CC/AMCC, I find that the provisions of section 41305(e) apply, and that SEA is a “prevailing party” as to OOCL’s counterclaim.²

² I use the phrase “OOCL’s counterclaim” to refer to both OOCL’s CC and AMCC. Likewise, I use the phrase “OOCL’s third-party complaint” to refer to both OOCL’s TPC and ATPC.

I also find that SEC is a prevailing party. Although OOCL does not argue that SEC is a prevailing party regarding the ATPC, the parties argue about whether SEC is the prevailing party as to SEC's MTD Re Service. As noted, SEC filed SEC's MTD Re Service on January 26, 2025, before it was served, arguing that it should be dismissed because it was not properly served via the Hague Convention procedures. SEC contends that it ultimately prevailed in requiring OOCL to serve SEC by means of the Hague Convention. (SEC Petition, at 4). OOCL points out that SEC's MTD Re Service was denied, and that, in any event, SEC received no relief on the merits of the case due to SEC's MTD Re Service. (SEC Petition Opp., at 3-5)

The issue of whether SEC is a prevailing party regarding SEC's MTD Re Service is a red herring. In *Bakerly*, the respondent attempted a motion for partial summary decision that failed. (*Bakerly, LLC v. SeaFrigo USA, Inc.*, Dkt. No. 22-17, 2023 WL 1963459 (ALJ Feb. 7, 2023)). Nevertheless, the complainant's claims were all ultimately dismissed as meritless, and the Commission concluded that respondent was "plainly" a prevailing party. (*Bakerly*, 2026 WL 254020, at *5)

The Commission's decision in *Bakerly* is consistent with the Supreme Court's decision in *Hensley v. Eckerhart*, 461 U.S. 424 (1983).³ There, the plaintiffs brought a claim advancing several different theories; while some theories were successful, others were not. The trial court awarded attorney's fees, although the Supreme Court vacated and remanded the award of attorney's fees for the trial court to consider the degree of success achieved in relation to the fee award. (*Id.*, at 440). Of relevance for present purposes, in articulating what constituted a "prevailing party," the Court stated that a plaintiff may be considered a prevailing party for attorney's fees purposes "'if they succeed on any significant issue in litigation which achieves some of the benefits the parties sought in bringing suit.'" (*Id.*, at 433) (citation omitted); (see also *Texas State Teachers Ass'n*, 489 U.S. at 791-92). In other words, not every theory needs to be successful in order for a party to be considered a "prevailing party."

Here, although SEC advanced multiple theories for how it should prevail (*i.e.*, SEC should prevail because it was not properly served; and SEC should prevail because OOCL's third-party complaint failed to state a claim), SEC ultimately prevailed, even though not every argument was successful. Therefore, SEC is a "prevailing party."

Accordingly, I find that both SEA and SEC are "prevailing parties," and are eligible for an award of attorney's fees.

C. Entitled

In determining whether a party is entitled to attorney's fees, the Commission considers five factors: 1) there was a colorable legal and factual basis for the claims/defenses, 2) the filing was motivated by an improper purpose, such as harassment or coercion; 3) the non-prevailing party engaged in litigation misconduct; 4) fees are appropriate to deter future baseless filings; and 5) whether the fee is appropriate to make the petitioning party whole. (*Bakerly*, 2026 WL

³ *Hensley* was superseded by statute in part on other grounds. (See *Rayna P. v. Campus Comm. School*, 390 F. Supp. 3d 556, 561 (D. Del. 2019)).

254020, at *5 (citing *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Dkt. No. 14-04, 2016 WL 5110081, at *4-5 (FMC Sept. 14, 2016)). I apply the five factors as follows:

1. Colorable Factual and Legal Basis for the Claim and Improper Purpose

The first factor is whether OOCL had a colorable factual and legal basis for the counterclaim/third-party complaint. The Commission has stated that if a claim is frivolous, has no plausible legal or factual basis, or is not supported by colorable arguments, that fact weighs in favor of a fee award. (*Bakerly*, 2026 WL 254020, at *6). Similarly, the Commission has also stated that an objectively unreasonable claim describes one with no legal or factual support. (*Logfret, Inc. v. Kirsha, B.V.*, Dkt. No. 18-10, 2 F.M.C.2d 110, 114, 2020 WL 13512913, at *4 (FMC Jun. 22, 2020)).

The second factor is whether the filing was motivated by an improper purpose, such as harassment or coercion. (*Bakerly*, 2026 WL 254020, at *6). In *Bakerly*, the Commission considered these two factors together. (*Id.*). For the reasons discussed below, I consider these factors together as well.

As noted, the CC and TPC both alleged that SEA and SEC violated section 41102(a) of the Shipping Act. Section 41102(a) provides:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

(46 U.S.C. § 41102(a)).

In an interpretive rule, the Commission has stated that:

An essential element of the offense is use of an “unjust or unfair device or means.” In the absence of evidence of bad faith or deceit, the Federal Maritime Commission will not infer an “unjust or unfair device or means” from the failure of a shipper to pay ocean freight. An “unjust or unfair device or means” could be inferred where a shipper, in bad faith, induced the carrier to relinquish its possessory lien on the cargo and to transport the cargo without prepayment by the shipper of the applicable freight charges.

(46 C.F.R. § 545.2).

Case law has developed three elements to a claim under section 41102(a):

(1) knowing and willful conduct; (2) through which, either ‘directly or indirectly,’ by means of the actions enumerated in the statute or through “any other unjust or unfair device or means;” (3) respondent obtained or attempted to obtain ocean transportation at lesser rates.

(*Rana v. Franklin*, Dkt. No. 19-03, 5 F.M.C.2d 7, 19, 2022 WL 1744905, at *7 (FMC May 25, 2022); *see also* July 30 Order, at 8). Regarding the second factor, when a party alleges an “unfair device” other than one of the “false” examples in the statute, “some type of ‘fraud or concealment’ comparable to those examples is required.” (July 30 Order, at 9); *see also Rose Int’l Inc. v. Overseas Moving Network Int’l, Ltd.*, Dkt. No. 96-05, 2001 WL 865798, *58 (FMC Jun. 1, 2001) (stating that “some kind of fraud or concealment” is required to satisfy the “unfair device or means” requirement).

In the CC and TPC, OOCL essentially alleged that SEA and SEC violated section 41102(a) by bringing a facially valid complaint challenging OOCL’s demurrage and detention fees. In particular, OOCL alleged:

41. In this proceeding, and in other proceedings before the Federal Maritime Commission, commenced by SEA against other ocean carriers, SEA is attempting to recoup the demurrage, detention and other costs that have been rightfully charged to and incurred by SEA, from entities that were not legally responsible for the charges SEA incurred due to its own fault, acts and omissions.

42. In demanding refunds of charges imposed pursuant to the terms of the Service Contracts, and in demanding that OOCL waive future lawful charges, and in bringing legal proceedings against OOCL and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions, SEA has knowingly and willfully engaged in a unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. § 41102(a) of the Shipping Act.

(CC, at ¶¶ 41-42; *see also* TPC, at ¶¶ 62-63 (which are substantially similar)).

In his dismissal of the CC, Judge Chintella said that the allegations did not assert a plausible claim because neither the second element nor the third element of a section 41102(a) claim were satisfied. Of the second element, he said: “OOCL cites no authority for the unlikely proposition that a facially valid complaint to recover alleged overcharges (in a Shipping Act case or otherwise) constitutes fraud.” (March 31 Order, at 5). Of the third element, Judge Chintella said: “There is simply no way, as a matter of law, that a facially legitimate dispute before the Commission can result in a complainant obtaining ocean transportation at less than applicable rates for purposes of § 41102(a).” (*Id.*). Judge Chintella also denied OOCL leave to amend its complaint, finding OOCL’s claim to be futile. (*Id.*, at 6).

The Commission likewise took a similarly dim view of OOCL’s CC. It agreed with Judge Chintella that: “simply pursuing a facially valid FMC case, as SEA has done here, cannot constitute an ‘unfair device’ or an effort to obtain less than applicable rates under the statute.” (July 30 Order, at 11). The Commission also agreed that the third element of a section 41102(a) claim cannot be satisfied simply because of “SEA’s pursuit of this FMC proceeding.” (July 30 Order, at 14). The Commission pointed out that OOCL’s CC also included allegations that SEA demanded a refund of demurrage and detention charges prior to filing the VC, but the

Commission said that the allegations in the CC did not allege a plausible claim under section 41102(a). (July 30 Order, at 16). The Commission also noted that OOCL alleged in its briefs that SEA secretly harbored a disagreement with the plain terms of the service contracts, which constituted an “unfair device.” (July 30 Order, at 18). But, the Commission cast doubt on that theory as well, calling it a “disagreement about legal matters, which is not sufficient to support a section 41102(a) claim.” (July 30 Order, at 19).

Nevertheless, despite the fact that the Commission affirmed the dismissal of the CC, and cast doubt on OOCL’s theories of a cognizable claim under section 41102(a), the Commission remanded the matter, stating that OOCL is “entitled” to amend its CC, and that it “should be given at least one chance to allege a plausible claim[.]” (July 30 Order, at 20). The Commission questioned whether OOCL would be able to allege a plausible claim, stating that “it is not evident that the additional conduct OOCL has described would present a plausible claim under section 41102(a)[.]” But, the Commission also stated that it is not clear that an amended complaint would be futile. (July 30 Order, at 21).

After the matter was remanded, both the CC and TPC were amended. The AMCC and ATPC contained theories similar to those described by the Commission, namely OOCL alleged that SEC and SEA induced OOCL into entering service contracts, thereby giving SEC and SEA advantageous terms, by hiding their disagreement with a material term of the service contracts. (AMCC, at ¶¶ 31, 33, 66; ATPC, at ¶¶ 30-32, 66, 85). But, as predicted by the Commission, these claims did not allege a plausible violation of section 41102(a), because they ultimately turned on the same facially plausible dispute at the heart of SEA’s VAC. (November 26 Order, at 9).

There is no question that OOCL’s allegation that SEA and SEC violated section 41102(a) was weak. As Judge Chintella said, OOCL’s assertion that SEA could violate section 41102(a) by means of a facially-valid complaint lacked any supporting authority. (March 31 Order, at 5). The same could be said of the TPC, which was substantively similar to the CC. The Commission affirmed Judge Chintella’s decision. (July 30 Order, at 11). I later concluded that OOCL’s AMCC and ATPC essentially turned on the same facially valid dispute. (November 26 Order, at 10-11). Thus, there was no legal basis for OOCL’s counterclaim or OOCL’s third-party complaint.

Nor was there any factual support for OOCL’s counterclaim or OOCL’s third-party complaint. In its opposition to the fee petitions, OOCL gives a description of the factual basis for its allegations in the AMCC and ATPC:

It is hardly frivolous to take the position that a large and sophisticated company which had revenue of over \$220 billion in 2024 (Samsung) and its wholly-owned U.S. subsidiary (Samsung Electronics America) (SEA) were deliberately misleading Respondents when they were bound by a service contract on file with the Commission making them responsible for non-performance by SEA’s selected motor carriers, SEA paid without protest over \$12 million in charges, and then subsequently demanded OOCL stop issuing the charges and sought a refund of

those payments. Indeed, it is difficult to imagine a different, non-frivolous explanation for SEA's conduct.

(SEA Petition Opp., at 6-7; SEC Petition Opp., at 9). Thus, OOCL appears to argue that because a large company raised a facially-valid dispute, the large company must have harbored a secret plan all along. At best, that is a weak factual basis for OOCL's claim.

Because the counterclaim and third-party complaint were unsupported by any legal authority, and lacked factual support, I would be inclined to find that its allegations were frivolous or objectively unreasonable but for the fact that the Commission stated that OOCL was "entitled" to file an amended complaint, and that it should be given at least one chance to amend. The Commission also stated that it was not clear that an amended counterclaim (and, by the same logic, an amended third-party complaint) would necessarily be futile. Accordingly, because the Commission concluded that an amended counterclaim (and, by extension, an amended third-party complaint) would not necessarily be futile, I cannot find that OOCL's counterclaim or OOCL's third-party complaint were frivolous, baseless, or objectively unreasonable.

Along the same lines, I would be inclined to find improper motivation for the counterclaim and third-party complaint but for the Commission's remand. A party is improperly motivated where it asserts a claim, knowingly gambling on an unreasonable legal theory in order to achieve a secondary gain. (*Logfret*, 2020 WL 13512913, at *7) (citations omitted). In light of the weakness of OOCL's allegations in OOCL's counterclaim and OOCL's third-party complaint, even after they were amended, and in light of the fact that two ALJs and the Commission all expressed a dim view of OOCL's section 41102(a) claims, one could fairly wonder if the only reason OOCL was pursuing its 41102(a) claims was to delay SEA's claim from advancing procedurally. Indeed, in my November 26 Order, I questioned whether OOCL had a dilatory motive when OOCL argued that I should allow its AMCC and ATPC to go forward because OOCL suggested that it would continue to appeal and cause further delays to this proceeding. (Nov. 26 Order, at n. 10 (citing MTD AMCC Opp., at 7-8; MTD ATPC Opp., at 6-7)). Nevertheless, the Commission allowed OOCL to amend its CC. Therefore, I cannot fault OOCL taking the opportunity to amend its CC (and, by extension, the TPC), even if the Commission expressed skepticism that OOCL would be able to make out a plausible claim under section 41102(a).

2. Litigation Misconduct

The Commission has stated that litigation misconduct generally consists of refusing to follow Commission orders or adhere to the procedural rules. (*Bakerly*, 2026 WL 254020, at *16). In *Edaf Antillas*, for example, the Commission stated that the complainant "knowingly disregarded the ALJ's orders on numerous occasions[.]" (*Edaf Antillas*, 2016 WL 5110081, at *2, *5).

SEC argues that OOCL engaged in litigation misconduct by refusing to serve SEC properly via the Hague Convention procedures for several months until forced to by means of the July 10 Order. (SEC Petition, at 8-9). Reviewing the history of this matter, I find no misconduct.

As an initial matter, complaints are generally served by the Commission via first class mail or express mail. (46 C.F.R. § 502.113(b)). As discussed in the Procedural History, the Commission tried to serve SEC but was unable to do so.

I appreciate the fact that OOCL did not utilize the Hague Convention procedures until forced to do so by the July 10 Order. I am not persuaded, however, that this constitutes litigation misconduct. As discussed in the July 10 Order, Rule 4(h)(2) and Rule 4(f) of the Federal Rules of Civil Procedure authorize three methods of service on foreign entities, all of which are equally favored. (July 10 Order, at 5-7). Further, utilizing Rule 4(f)(3), some courts have allowed Korean entities to be served by means of service on their counsel in the United States, bypassing Hague Convention procedures. (*Id.*). Therefore, I find that OOCL did not engage in litigation misconduct by moving unsuccessfully to serve SEC's counsel in the United States, as its motion was fairly supported.

SEA asserts that OOCL engaged in litigation misconduct by stubbornly pursuing its meritless counterclaim onto appeal before the Commission and on remand. (SEA Petition, at 8). Similarly, SEC argues that OOCL engaged in litigation misconduct by pursuing the equally meritless third-party complaint despite OOCL's lack of success with its counterclaim. (SEC Petition, at 8-9). As discussed above, I would be inclined to agree that OOCL pursued a meritless counterclaim and third-party complaint but for the fact that the Commission permitted OOCL to amend its counterclaim (and, by logical extension, the substantially similar third-party complaint).⁴

3. Deterrence and Compensation

In weighing deterrence as a factor, the Commission considers whether a fee award is appropriate to deter future misconduct by the non-prevailing party. (*Bakerly*, 2026 WL 254020, at *17). Regarding compensation, the Commission generally considers a disparity of power, such as when a shipper of household goods litigates against an NVOCC. (*Id.*). The Commission has considered these factors together in other cases. (*Id.*; *see also Logfret*, 2020 WL 13512913, at *7).

Regarding deterrence, neither SEA nor SEC argue that OOCL has "filed baseless claims in the past or is likely to do so in the future." (*Bakerly*, 2026 WL 254020, at *17). SEA argues that, in general, attorney's fees should be awarded to deter the future filing of baseless counterclaims, but SEA does not assert that OOCL itself needs to be deterred. (SEA Petition, at 9). I find, therefore, that deterrence is not a consideration.

⁴ I recently noted that I have concerns about OOCL's conduct in discovery. In particular, I noted that: "OOCL represents that it completed its document production. (*See Joint Status Report 5* (January 2026), at 8). This does not appear to be accurate." (Order Following Second Status Conference, at 2). I also noted that: "Thus, it appears that OOCL's searches and productions have been deficient to date." (*Id.*, at 2-3). Although I considered whether this constitutes "litigation misconduct" for purposes of the SEC Petition and SEA Petition, those petitions are tied to OOCL's counterclaim and OOCL's third-party complaint, whereas OOCL's conduct during discovery is related to the VAC.

SEA admits that OOCL is a sophisticated party. (SEA Petition, at 9-10). There is no question that OOCL is a significant ocean common carrier. Indeed, SEA describes OOCL in the VAC as an “experienced transportation company” that offers “a full range of services.” (VAC, at ¶ 16). Conversely, SEA states in its VAC that it is a global manufacturer of electronics. (VAC, at ¶¶ 12-15). While both SEA and SEC argue that they needed to spend substantial funds resisting OOCL’s baseless claims, there is no concern regarding power imbalance.

D. Conclusion

Weighing the factors for whether SEA and SEC are entitled to a fee award, I find that OOCL’s counterclaim and OOCL’s third-party complaint would be objectively frivolous, and would appear to be a procedural delay tactic, but for the fact that the Commission concluded that it would not be futile to allow OOCL to amend its counterclaim (and, by logical extension, its third-party complaint). Because of the remand, I find that OOCL did not engage in litigation misconduct by continuing to pursue its counterclaim and its third-party complaint after the remand. I also find that it was not litigation misconduct for OOCL to file a motion to serve SEC by means of its counsel in the United States. Finally, I find that deterrence and compensation are not factors. Therefore, I find that neither SEA nor SEC is entitled to attorney’s fees.

IV. CONCLUSION

For the reasons discussed, it is

ORDERED that the SEC Petition is **DENIED**. It is

FURTHER ORDERED that the SEA Petition is **DENIED**. It is

FURTHER ORDERED that SEA’s MTS is **DENIED** as moot.

SO ORDERED


Richard C. Ambrow Jr -S

Richard Ambrow
Administrative Law Judge